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Market Commentary

WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

Market Already Thinking About 2019 Earnings

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Last Week's S&P 500 Index:
+1.5%

Key takeaways

- *The S&P 500 has produced impressive earnings results this year that has some market pundits wondering why the index is not meaningfully higher.*
- *While there are a number of headwinds for the market, one that gets little attention is the likelihood that earnings growth may be meaningfully lower next year.*

As we head into the meat of the second-quarter earnings reporting season this week, a number of stock market pundits seemingly continue to be confounded by the recent stall in the market in the face of what certainly can be considered strong corporate earnings growth. After all, they argue, earnings growth in the first quarter was a touch more than 23%, and the consensus is expecting better than 19% year-over-year growth in the second quarter according to S&P Capital IQ. And further, when you compare full-year 2017 to this year, the consensus is expecting growth to be 21%. What's not to like (or even love)?

From this strategist's perspective, the answer lies not in what has happened and will likely continue to happen this year, but in what is likely to occur in 2019. This year's explosive earnings growth has largely been driven by the big changes to the tax code that Congress passed last year and went into effect on January 1 of this year. Our original analysis in early fall of 2017 suggested that, barring any change in the tax code, "organic" (not tax-code-influenced) earnings growth would likely have been in the 7% to 8% range this year. Instead, when taking the tax changes and the better-than-expected first quarter into account, earnings growth should come in near 18% in our opinion (and yes, our growth estimate for 2018 is below consensus).

So, in our opinion, as we argued was probable in issues of this weekly piece earlier in the year, investors are starting to think about earnings in 2019 and realizing that the magnitude of growth likely won't be anywhere near the rate produced this year. While anything is possible, we doubt another earnings game-changer, like a big adjustment in the tax code, is on the horizon for next year. One can certainly argue that other concerns, like fears of a trade war, valuations, Federal Reserve rate hikes, and the potential for a slowdown in the rate of global economic growth, are also helping to hold back an advance in the major equity indices. However, this strategist is convinced the high probability of an earnings growth slowdown next year is one of the major culprits.

But, put any major slowdown in the earnings-growth rate next year into perspective. In a normal cycle, in the later stages, earnings growth slows. This doesn't mean the stock market has reached "peak earnings." The absolute earnings number continues to rise. Earnings growth is often most robust in the early stages of a cycle when the economy is crawling out of a recession, and the comparison with the prior-year (poor result) period is easy. Without the boost from tax reform this year, we would have estimated that 2017's 11.4% growth rate (vs. 2016) could very well have been the high water mark through the end of this cycle.

While we have not yet come to a conclusion on the potential rate of earnings growth next year, a preliminary look at consensus gross domestic product (GDP) estimates would suggest 7% to 10% could very well be in the ballpark—clearly well below the projected rate this year. But stocks can still advance in a modest growth/modest inflation environment. Along with the current concerns and daily headlines, it makes sense that the stock market is already thinking about earnings growth in 2019.

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Definitions

S&P 500 Index is a market capitalization-weighted index composed of 500 widely held common stocks that is generally considered representative of the U.S. stock market. An index is unmanaged and not available for direct investment.

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